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LinkedIn (A)

In summer 2005, Konstantin Guericke, vice president of Marketing, and Reid Hoffman, CEO, had to decide on a strategic direction for LinkedIn, the two-year-old start-up they had cofounded. The company boasted a Web-based network of over 5 million business people who could contact each other through trusted intermediaries on the network. The system enabled members to offer or seek jobs, consulting engagements, expertise, and financing. The company had outpaced its competitors by building the most populous online business network, but it had little revenue to show its investors. LinkedIn had launched a fee-based job-listing service a few months earlier, but the service alone was unlikely to make LinkedIn profitable before it used up its existing cash reserves of $5 million.

As Guericke brainstormed with the CEO and the rest of the executive team, two strategic options emerged. The first entailed keeping the existing features unchanged and rolling out a bundle of eight new services for a monthly fee of $15. These services would be targeted at network members who had forged many connections, logged in frequently, and viewed the profiles of many other members. (See **Exhibit 1** for details of the proposal.) Many members had reported interest in these services. The second option involved changing a basic design feature of LinkedIn by allowing members to contact each other without intermediaries, for a fee. Guericke estimated that fewer members would avail themselves of this feature, but that those who did would be willing to pay as much as $5–$15 per message. Skeptics at the company worried that this option ran a substantial risk of alienating members and would prompt some to abandon LinkedIn.

Guericke and Hoffman needed to decide soon. The company had only enough cash to support its operations until March 2006, when it would have to pursue another round of venture-capital financing. The terms would be unfavorable if revenue had failed to materialize. Given the six-month lead required to obtain cash, the team had to choose one of the options, implement it, and demonstrate that it could generate enough revenue by October 2005.

LinkedIn Platform

LinkedIn traced its origins to 1997, when Stanford graduates Reid Hoffman and Konstantin Guericke began discussing the ideas that eventually led them to found the company. Both were involved in online communities at the time, and they met as participants on a panel about the subject. Both had also been quick to observe that the Internet had the capacity to connect people in unprecedented ways. In October 2002, Hoffman and Guericke began collaborating with three colleagues to develop a tool to help professionals connect online.[1] (See **Exhibit 2** for biographies.) They created a mockup and started coding in December 2002; the beta site was released in May 2003. In November, LinkedIn raised $4.7 million from Sequoia Capital, the venture capitalists behind

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Professor Mikołaj Jan Piskorski prepared this case. HBS cases are developed solely as the basis for class discussion. Cases are not intended to serve as endorsements, sources of primary data, or illustrations of effective or ineffective management.

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Google and Yahoo! Eleven months later the company secured $10 million in Series B financing led by Greylock Partners, a venture-capital firm with a 40-year history. Several angel investors, including Marc Andreessen, a cofounder of Netscape, and Peter Thiel, a cofounder of PayPal, also held stock in LinkedIn.

Network Platform

LinkedIn operated by utilizing members' existing networks of business relationships on an Internet-based platform and linking the networks of people who knew each other. Anyone could become a member, but 90% of members joined in response to an invitation from an existing member. New members joined by completing a profile on the LinkedIn website. The profile could consist of as little as one's name, region, and industry, but the company encouraged members to list their educational attainments, detailed career histories, and other affiliations, together with dates and responsibilities each activity entailed. Upon completing the profile, new members were linked to the member who invited them. New members could then extend their networks by inviting others to join, by asking existing members to connect to them, or by accepting invitations to connect from existing members. (See **Exhibit 3** for a sample profile.) Connections had to be agreed to by both parties. LinkedIn's management believed that members would only invite and accept connections to people they trusted, because "as soon as you invite somebody, it means sooner or later you have to make the introduction," as Hoffman put it, "and people don't want to make introductions unless they think highly of them, as it reflects upon their own reputation." Every member was free to disconnect from any unwanted contact.

To find someone with specific capabilities, a member could search his or her personal network by specifying any combination of keywords, industry, geographic area or other criteria (see **Exhibit 4** for a screenshot). The search would yield a list of mini-profiles of members who met the specified conditions and who were within four degrees of separation from the requestor. (See an illustration of degrees of separation in **Exhibit 5**.) Each of these mini-profiles could be expanded to examine the complete profile, and after selecting the best match, the member could submit a request to be introduced to the target individual. The first-degree intermediary was asked to forward the request. If the intermediary agreed to do so, he or she was required to write a brief recommendation, which the second-degree intermediary could use to decide whether or not to forward the request. The second-degree intermediary, who did not know the requestor, had to rely on personal knowledge of the first-degree contact, his or her recommendation, the requestor's profile, and knowledge of the next person in the chain to decide whether to forward the request. If the request was passed on, the third-degree intermediary repeated the process. The chain of participants linking the requestor to the target was concealed from the requestor, allowing anyone along the path to decline the request anonymously.

If the introduction request reached the target, he or she could then choose whether or not to contact the requestor. A target who accepted the request usually sent a brief note to the requestor providing an e-mail address and/or telephone number. To discourage frivolous requests, LinkedIn limited members to five outstanding requests at a time. Acceptance of a request for contact did not generate a permanent link between the initiator and the target. For that to happen, one party would have to issue an invitation to connect and the other party would have to accept it.

Platform Evolution

LinkedIn's network platform had initially been geared toward protecting members' privacy. Several of the privacy features interfered, however, with the efficacy of searches. Requestors were not

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told, for example, which of their first-degree contacts received their request. LinkedIn later made this contact visible. If there were multiple paths to the target, the requestor was also allowed to choose which first-degree contact would receive the request. This feature was particularly useful if, for example, the requestor wanted to pitch a business plan to a venture capitalist and had the option of approaching the target either through a CEO she knew or through a software engineer at a company she used to work for; most requestors would prefer that the initial recommendation come from the CEO. This approach was also more consistent with real-life situations in which the requestor would be strategic about choosing the intermediary most likely to be influential. As an added feature LinkedIn also began to disclose the degrees of separation linking the requestor and the target. Members appreciated this information; many preferred targets within close range and even said that they would request introductions only to closely-linked targets.

LinkedIn also lifted a restriction on viewing the list of connections of first-degree contacts. This change was introduced to accommodate members who used LinkedIn without knowing quite what they were looking for. Keyword searches were too exacting in such circumstances; it was preferable to browse the profiles of people who might be helpful. After the policy change, a member seeking legal help but uncertain of what kind of lawyer to contact could browse the networks of first-degree friends likely to know many lawyers. The specialties listed on lawyers' profiles might help the member narrow his search to lawyers who specialize in startups, say, or employment law. To retain the trust of users who had joined before the change of policy, LinkedIn kept their networks hidden unless they explicitly allowed access. The default option for new users was to reveal the member's network to direct contacts unless the member chose otherwise.

Later, LinkedIn provided for members to collect endorsements from their contacts. An endorsement typically consisted of a brief account of the member's qualifications and performance from current or former managers, colleagues, customers, or business partners. Endorsements were always specific to a particular position the member had held. Members could request endorsements, and some voluntarily wrote endorsements for others without being asked. A member could not change the text of an endorsement written by someone else, but could choose whether or not to include it in his or her profile. It was highly beneficial to have one's profile endorsed: members were three times more likely to select an endorsed member from a list of profiles matching their search criteria, and requests initiated by endorsed members were 25% more likely to be accepted by intermediaries and by the target.

Some issues have been left unresolved. For example, requests for an introduction to a member who was four degrees away were reported to be socially awkward for the middle member, who knew neither the originator nor the recipient of the request but was required to vouch for the request. Limiting the length of the request path to three degrees of separation would have solved this problem, but it would have also drastically reduced the number of members who could be contacted (see **Exhibit 6**).

Members

The LinkedIn network grew very fast. At first the network consisted only of LinkedIn's founders and their own contacts. These contacts invited others, who in turn invited still others. By April 2004 the network had 550,000 members; a year later membership stood at 4.5 million. A typical member with 10–20 connections could access 30,000–50,000 members within four degrees of separation. As the membership base grew, so did search activity. Members executed approximately 2 million searches in April 2004; by mid-2005 that number had grown to 5 million. These searches generated about 12,000 requests for introductions per month in 2004. Eighty-five percent of requests approved by all

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the intermediaries were accepted by the target recipient. By mid-2005, monthly requests for introductions had reached 25,000, and acceptance rates had increased slightly to 87%.

LinkedIn members represented more than 120 industries, none of which accounted for more than 15% of the membership. Fifty percent of members were based in countries outside the United States. LinkedIn boasted a broad spectrum of executives—12% were senior executives and 10% were at the vice president/general manager level. (See **Exhibit 7** for a breakdown of users by occupation.) The most meaningful criterion for segmenting LinkedIn members was behavior on the platform. On the basis of their surveys and careful observations, managers at LinkedIn assigned members to three categories: relationship managers, contactors, and networkers.

Relationship Managers Although LinkedIn developed a broad set of tools to help members search for and contact members they did not personally know, approximately 90% of LinkedIn members had little interest in approaching people beyond their circle of first-degree contacts. Designated *relationship managers*, these members understood the importance of networks to their careers. Their real-life first-degree networks gave them access to most of the goods and services they needed. Thus they were unlikely to initiate frequent requests to contact people through LinkedIn. Typical relationship managers would only rarely run searches for people they did not already know, except when looking for a job, say, or seeking investors for a start-up. Relationship managers did expect others to request contact with them, but few were disappointed if such requests did not materialize.

Instead, relationship managers were intent on managing their existing first-degree relationships, both current and lapsed. In fact, many reported that they used LinkedIn primarily to reconnect with former colleagues, partners, and investors. The platform enabled members to create a self-updating address book: even if contacts moved and changed jobs, members could still find them quickly. This was a particularly helpful feature when a contact's old e-mail address was no longer current. Relationship managers also used LinkedIn to keep track of their contacts' career paths, often scanning for former associates with whom it would be opportune to rekindle a relationship. A subset of this group, estimated at no more than 25%, routinely scanned the networks of their first-degree contacts; some were searching for business opportunities, but others were simply comparing their own networks to other members' networks. An even smaller set of relationship managers, no more than 5% of the total, used LinkedIn with the intent of finding information about third- and fourth-degree contacts. Members often engaged in these searches before important meetings with the targets. Such searches often revealed many shared contacts, and members reported that mentioning mutual friends made initial meetings more congenial.

LinkedIn's management was highly attuned to the needs of its most populous membership group, and continually released new features that this group would find useful. For example, members could upload their e-mail address books to LinkedIn to quickly determine which of their contacts were already members. Features that facilitated finding contacts from previous places of employment and universities were also continually improved.

Networkers The 5% of users whom LinkedIn called *networkers* differed strikingly from relationship managers. Frequent attendees at networking events like alumni mixers, these members built relationships for their own sake, in the expectation that sooner or later one of these relationships would pay off. Networking events tended to attract other networkers, thus limiting the number of new people with whom to network. LinkedIn, and in particular its population of relationship managers, represented a goldmine of otherwise-inaccessible additional contacts.

To expand their reach still further, networkers typically issued many invitations to join their networks, even to members they had never met. This pattern differentiated them from relationship

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managers, whose LinkedIn relationships tended to replicate the offline relationships they had built over the course of their careers. Networkers also differed from relationship managers in that they indiscriminately accepted others' invitations to connect; relationship managers frowned on invitations from strangers. Networkers took further steps to increase the number of their connections, such as displaying their e-mail addresses next to their name. Since LinkedIn required knowledge of a potential contact's e-mail address before a tie could be established, doing so made it far more likely that another networker would offer to connect directly. For some members, these efforts paid off handsomely; the most connected networker boasted approximately 25,000 connections, and the fiftieth most connected person had over 5,000 connections.[2] Some networkers who managed to position themselves centrally in the network were said to have dedicated computers exclusively for their LinkedIn activities.

Networkers frequently searched the LinkedIn database not to pursue a specific business objective but to find people to add to their networks as direct connections. By virtue of their many connections, networkers were frequently asked to act as intermediaries—some made as many as 10–20 introductions a day. Networkers thus had a love-hate relationship with the LinkedIn introduction system. They disliked the requirement that an introduction required a referral. "People who chose to come to a social mixer have already expressed an interest in networking with others," one networker argued, "so there should be no barriers between people communicating." This point of view clashed with that of relationship managers, who behaved, in the words of Guericke, more like "typical businesspeople who ignore contact from people they don't know unless one of their trusted connections recommends they take a look." On the other hand, networkers were fully aware that the value of their many connections was dependent on the referral system. If the referral system were eliminated and anyone could contact anyone else, their role as intermediaries would evaporate.

Networkers were instrumental in spreading the word about LinkedIn since each of them typically invited hundreds of people to join. Many took the time to explain to others how to use the network. They also created a "virtual ecosystem" for LinkedIn by establishing a website, TopLinked.com, where they could boast about their connections, and by participating in Yahoo! discussion groups on recent LinkedIn developments. Certain members even created stand-alone applications, like LinkedIn Contacts Management, that interacted with the website and evolved with LinkedIn.[3]

Contactors The final 5% of LinkedIn members were *contactors*—an active group of recruiters, investment professionals, analysts, salespeople, and business-development people whose jobs routinely required them to find and contact a set of people matching specific criteria. Contactors were thus responsible for initiating the largest number of requests for referrals. To maximize their reach, they too tried to build multiple connections, but the number of their connections was still substantially lower than those of networkers. Unlike relationship managers, who usually searched for people they already knew, contactors typically looked for people they did not know and requested contact. The two groups were symbiotic, however, in that relationship managers were the most likely targets of contactors' requests. This relationship presumably explained why initially contactors had been uninterested in LinkedIn. But as the number of relationship managers on LinkedIn grew, contactors flocked to the website.

At least four types of contactors, representing a broad variety of job functions, used LinkedIn primarily as a job-recruitment vehicle. Professional recruiters searched for candidates who matched the criteria of hiring organizations. These recruiters were often responsible for filling higher-level positions in which the fit between the person and the position was critical. Given the importance of detailed biographical information in such searches, recruiters found LinkedIn and similar networks extraordinarily useful. Recruiters were also quick to make use of features of LinkedIn that facilitated

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their work. Instead of just forwarding a potential recruit's résumé to a hiring organization, for example, they would submit endorsements from the website as well.

A second category of recruiters was hiring managers, responsible for filling a broad spectrum of positions. *Hiring manager* was not a job title; it was a role that a supervisor performed when a position opened up in his or her department. Hiring managers were typically highly motivated to find an appropriate candidate, because they themselves would manage the person after hiring. But recruitment was rarely a top priority, since hiring managers were typically preoccupied with managing the existing workforce. Lack of hiring experience only added to the burden of the task. The final two categories of contactors were both employees of corporate human-resource (HR) departments: Internal recruiters, whose performance was based on meeting the needs of corporate managers, and cared about the sheer number of candidates they were able to present; and second, HR employees responsible for filling lower-level positions, who were mainly rewarded for the number of résumés they could collect.

Contactors initiated the most referral requests, but felt frustrated by the rule that they could only view profiles of LinkedIn members within their own networks and required introductions to contact them. Many asserted that they were offering value to relationship managers and should be allowed to contact them easily. Instead, LinkedIn required them to spend time building their own networks, which could take a couple of months to become truly useful. Contactors also worried that initiating numerous requests for referrals would burden their direct contacts, even though their requests were by no means frivolous. Finally, they felt hamstrung by the limit on the number of pending requests, a feature designed to protect relationship managers from the more notorious networkers. Recruiters claimed that they would be unlikely to contact relationship managers unless they clearly matched a job's requirements. Even if an occasional mismatch occurred, recruiters claimed that few people would grumble if they were contacted with a potential job offer. The stumbling block, in the eyes of LinkedIn's management, was that relationship managers might not react tolerantly to other types of overtures, such as those of salespeople. CEO Reid Hoffman viewed sales as a one-sided transaction in which even a remote chance that a target would buy a product was sufficient inducement for a salesperson to initiate contact. In the absence of a hard-and-fast rule distinguishing requests with potential for mutual benefit from nuisance requests, relationship managers could easily be alienated if any member could contact them without a referral.

Vertical Applications

In addition to access to the network and its capabilities, LinkedIn offered members three applications: LinkedIn Jobs, LinkedIn for Groups, and LinkedIn Services. Introduced at different times, and with varying degrees of functionality, these applications represented avenues for future revenue growth.

LinkedIn Jobs

Introduced in March 2005, LinkedIn Jobs allowed recruiters to post a job advertisement for $95 per listing. LinkedIn employed no salesforce to solicit listings, relying instead on members and word of mouth. Hoffman expected recruiters to be attracted to LinkedIn Jobs because they would be able to collect unique data on applicants, such as a trusted contact's assessment of an applicant. Job posters could also see not just what candidates revealed about themselves on their profiles but what past managers, coworkers, and reports said about their work. This feature facilitated first-cut screening. Through LinkedIn Jobs, it was also easy to find "blind references"—people the recruiter or his

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contacts knew who had worked with the candidate. Finally, hiring managers and recruiters could broadcast a job listing to fellow employees and other contacts asking for referrals of candidates.

LinkedIn Jobs also provided significant benefits to job seekers. In addition to accessing traditional job-listing data, they could view the recruiter's background and the endorsements, and the degree of separation between themselves and the recruiter. These features were available only if the degrees of separation did not exceed four; otherwise, no additional information was provided. Job seekers could also obtain a list of members within four degrees of themselves who worked at the target company in the geographic area where the job was offered, and who opted into helping fellow LinkedIn members get jobs at their company. If the job seeker could access the job poster within four degrees, she or he could use the standard referral system to contact the poster and apply for the job. Alternatively, the applicant could request a referral to a fourth-degree-or-less contact who worked at the target company. Regardless of whether a referral was initiated, and to whom, LinkedIn members could always use the online job-application function.

Although LinkedIn Jobs exhibited significant promise and received dozens of new listings daily, the presence in the market of many strong competitors boasting longstanding relationships with HR departments and massive sales forces made it difficult to increase this number quickly. To promote awareness of its services, LinkedIn partnered with SimplyHired, an online job-search engine boasting over 5 million job listings and strong brand awareness among job seekers. When LinkedIn members searched for a job on SimplyHired, they could find out who within their LinkedIn network worked at the company and was willing to provide information or referrals to the hiring manager. Members could also view SimplyHired job listings on the LinkedIn site.

LinkedIn for Groups

LinkedIn for Groups, introduced in March of 2004, enabled members of affinity groups to engage in online networking. Once a group was approved by LinkedIn, its online presence was managed by one of its own members. Other LinkedIn members could join such a group only by invitation from the group's manager. Group members could view each other's profiles even if they were not linked directly. They could also contact each other without referral. Members were free to opt out of any of these group search functions, but few did. These basic services were free to the group and its members. If the group paid a one-time fee of $5,000, its members could display the group logo in their LinkedIn profiles; for $25,000, the same logo would be prominently displayed in a group member's abbreviated profile, displayed in the results of a network search.

Over 1000 groups availed themselves of this application: alumni organizations like Caltech's, professional organizations like the Association of International Product Marketing and Management, and conference-based groups like PC Forum. Despite its enthusiastic adoption, LinkedIn for Groups was not much of a revenue driver because the company was more interested in attracting prestigious organizations than extracting revenue. With particularly desirable groups, LinkedIn engaged in barter exchanges rather than charging a fee for displaying the logo.

LinkedIn Services

LinkedIn Services was launched a month after LinkedIn Jobs and was still in an early stage of functional development. The application enabled members to search for a service provider, such as an accountant, lawyer, or event organizer, within their four-degree network. Any member who indicated willingness to receive consulting offers could be included in the search results. Because

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LinkedIn did not charge for inclusion, the only way for professionals to get exposure to potential clients was to build more ties and garner more endorsements.

Although LinkedIn Services was very similar to the regular search function, it was launched to promote awareness that LinkedIn was the best way to find professional service providers recommended by people one knew. If LinkedIn later decided to allow members to initiate contacts beyond the fourth degree, these service providers could be contacted by anyone. It remained unresolved whether members initiating a request would pay to contact the providers or whether the providers would be charged a fee, similar to the cost of a toll-free number, to enable the initiating members to contact the providers for free.

Competition

LinkedIn was not the first company to exploit the Internet to facilitate exchanges between people. In fact, several social-networking sites were launched as early as the late 1990s. Among this group, which included PlanetAll and BranchOut, the most successful proved to be SixDegrees. Founded in 1997, the website invited members to join by completing a profile and providing a list of friends who would also be invited to join. SixDegrees could be used to search for job leads, locate specialists, or promote a business, up to three degrees of separation. By late 1998, the network boasted 1 million members and 9 million page views per month. By mid-2000, membership had reached 3.2 million people in 165 countries. Although SixDegrees raised $26.5 million in venture-capital financing, and its founder managed to sell it for $125 million in early 2000, the website was shut down at the end of 2000 when it failed to monetize its user base.[4]

Six Degrees' early failure did not deter subsequent entries. By some counts, 30 similar sites were launched between 2001 and 2004.[5] By April 2005, subscribers to social-networking services of all stripes totaled 46.8 million.[6] These new entrants could be segmented into two categories: (1) those oriented toward social relationships, such as friendships, dating, or marriage, and (2) those that helped people find jobs or keep track of business contacts. Each segment could be further subdivided by how much they relied on pre-existing social networks and how much flexibility they allowed their members. Friendster, Orkut, and Facebook, which competed in the social segment, relied mainly on pre-existing networks and allowed little flexibility in the content of individual profiles or uses of the website. Their competitors MySpace, Xanga, LiveJournal, and Blogger allowed members considerable control over the content of their profiles but downplayed the pre-existing network component, instead facilitating new relationships. Match.com, eHarmony, and JDate also promoted new relationships, with a focus on dating and marriage; their member profiles were uniform and inflexible. Because LinkedIn provided few features conducive to purely social relationships, it faced little competitive pressure from that segment. However, LinkedIn competed with several firms operating in the business-networking segment. A sampling of LinkedIn's competitors represented a spectrum of business models. (See **Exhibit 8** for competitive overlap in membership.)

Contact-Management Sites

Plaxo Plaxo emerged in 2001 with the intention of helping individuals keep their friends' and business associates' contact information up-to-date. New members provided their own personal information; they could then link to existing members and invite others to join. When members updated their contact information, the changes would be instantaneously accessible to their contacts. To facilitate such updates, the company released many plug-ins that integrated with the address books of various e-mail programs. Although the site offered no networking functionality beyond

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first-degree contact management, Plaxo's self-reported user base grew rapidly, reaching 3.5 million in mid-2004 and more than 6 million users in mid-2005.

Although free membership contributed to the rapid growth of the website, it did little for profitability. In mid-2005 Plaxo released two applications, one enabling access to Plaxo functions from mobile phones and another that helped members keep their contacts' addresses and telephone numbers in the correct format. Each application cost $30 a year, with a discount for purchasing both. The company also sought to extend its membership reach by forging an agreement with AOL, to enable AOL members and AIM (AOL Instant Messenger) users to synchronize contact information between their e-mail address books and their AOL Mail and AIM Mail address books.

Jigsaw A relatively late entrant, Jigsaw offered access to a database of corporate contact information. Members could choose between two plans: (1) those who needed a lot of business contacts could access the entire database for $25 a month, or (2) others could obtain free access to the database by submitting 25 contacts per month. User submissions enlarged the database rapidly, from 200,000 contacts when the website opened in December 2004 to 1 million in June 2005. Cash payouts of $1 per contact to members who contributed the most contacts to the database accelerated that growth. A system that rewarded members for challenging a bad contact, and that punished the contributor of that contact, motivated members to keep contacts up-to-date. Most members of Jigsaw were salespeople, for whom access to up-to-date information about potential sales contacts was particularly valuable. El Dorado Ventures and Norwest Venture Partners invested $5 million in Jigsaw.

Business-Networking Sites

ZeroDegrees The company was founded in August 2003 by Peter Hutto and Bruce Crair in West Hollywood, California. Anyone could become a ZeroDegrees member and start building connections to others by knowing their name and e-mail addresses. Once linked, the member could obtain the contact's personal information, such as address and telephone number, if the contact had made it available, and the composition of the contact's network. The website did not require both parties' consent for a link to be created. Both had to agree, however, to be in each other's "inner circle," which allowed them to access the profiles of each other's contacts, including e-mail addresses.

Members could request an introduction to another member within four degrees of separation. However, the process was very different from LinkedIn's. ZeroDegrees explicitly disclosed the path or paths linking the requestor and the target, and allowed the requestor to choose how to route the request. Requests could be routed through any connection, including those not mutually agreed to. As the request was forwarded, ZeroDegrees automatically established permanent links between the requestor and each member of the chain linking the requestor to the target. (On LinkedIn, by contrast, a request for contact was separate from a request to establish a permanent link.) ZeroDegrees was purchased in 2004 on undisclosed terms by InterActiveCorp, owners of Ask.com, Citysearch, Evite, Hotels.com, LendingTree, Match.com, Ticketmaster, and TripAdvisor. Despite the new owners' extensive experience managing online businesses, ZeroDegrees never attracted enough members to become a formidable competitor.

Ryze San Francisco-based Ryze launched in 2001 as a way for newly unemployed dot-com workers to maintain their contacts as they changed careers.[7] Within three years, the network had attracted 120,000 members, proving particularly popular with home-based entrepreneurs. The site allowed users to search other members' profiles, photos, and résumés. It also offered a free classified-ad section and user message boards. Members could freely contact others within two degrees of separation; contact beyond that point required a subscription fee of $10–$20 per month. The network

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grew slowly, but Ryze was the only online networking company that claimed to be making a profit as early as 2004.

Open Business Club (OpenBC) OpenBC, founded by Lars Hinrichs in November 2003 in Hamburg, Germany, quickly became the dominant networking website in German-speaking countries. By mid-2005, OpenBC boasted a membership base of 500,000, having almost doubled in size since the beginning of that year. Despite versions in 16 languages, membership was slow to expand outside of the German-speaking world. OpenBC introduced some basic networking capabilities, but did not insist on the referral system. For a monthly charge of 5.95, any member could contact any other member; nonpaying members could use only rudimentary search capabilities. As many as 100,000 users reportedly became premium members. Many earned this status without paying, however, since members were awarded free premium memberships for inviting new members.

Lead Generation Services

Visible Path Founded in 2002, Visible Path developed software that enabled corporations to mine their employees' e-mail and other communications to capitalize on their relationships with representatives of other companies. The software made these relationships visible to the company's salespeople, who used the data to identify potential sales contacts. Specially developed algorithms sought the strongest connection to the target company, and employed a referral system like LinkedIn's to connect the requestor and the target. Unlike other social networks, Visible Path was available only to companies and employed data only from its clients' internal resources.[8] In 2004 Visible Path received $5.7 million in financing, led by Kleiner Perkins Caufield & Byers, and signed a strategic alliance with salesforce.com. By mid-2005 the company had beta-tested its software with numerous firms, but no long-term corporate contracts had been announced.

Spoke Spoke was founded in early 2002 and launched its software in 2003. Spoke was a close competitor of Visible Path, as its software allowed companies to mine data within employees' e-mail, instant-messaging, and other information systems to build networks for sales purposes. The network could then be used to identify a target individual and referral path and to ask for an introduction. These applications were initially built as proprietary networks for two corporate customers. Spoke subsequently signed contracts for trial-run projects at eight more companies.

In 2004 Spoke raised $20 million from a consortium of venture capitalists, including Sierra Ventures, Partech International, and DCM, though it had not yet announced any enterprise customers.[9] By mid-2005, it had 60 corporate customers and boasted information on 500,000 North American businesses. The company then introduced SpokePro, which enabled sales professionals to access the full set of advanced features for $49 a month. One month later Spoke announced a custom application for salesforce.com enabling its customers to access lead-generation capability.

Job-Search Sites

Monster Founded as The Monster Board in 1994 by Jeff Taylor, Monster became the leading online destination for job seekers and recruiters. Job seekers could freely post their résumés; recruiters paid for the privilege of combing through them. Recruiters could also advertise openings for fees ranging from $145 to $395 per posting. Industry insiders believed that no more than 10% of sales were generated through the website; the company relied on an almost-1,000-person sales force that concentrated on sales to big corporate accounts. In 2005, the company boasted over 61 million job seeker members worldwide, a resume database containing more than 52 million résumés, and over

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200,000 member companies.[10] That year, Monster booked a net income of $108 million on $987 million revenues.[11] In 2004 the company launched Monster Networking, a service designed to encourage Monster members to share advice and cultivate professional relationships. Monster Networking did not require users to form explicit ties; any member could access the profile of any other member. If a member wanted to contact another member, however, he or she was required to become a VIP member for $9.99 per month. These design features resulted in very slow growth of the membership base, and no more than 2% of members paid the monthly charge. The possibility that recruiters might use the cheaper networking service rather than pay to view résumés also created strategic conflict between the main business unit and the networking service. Few industry observers believed that the service would be successful in the long run.

Craigslist Founded in 1995 by Craig Newmark, Craigslist provided free classified advertisements, including job and résumé postings, service offerings, and personal ads. (Such advertisements cost $40 on average if published in a local newspaper.) Craigslist originated in the San Francisco area in 1995, and subsequently expanded to all U.S. metropolitan areas and to major cities overseas. With over 3 billion page views and 7 million new classified ads every month, Craigslist had become the leading classified service in any medium. Its sole source of revenue was job listings, which cost $75 in San Francisco and $25 in Los Angeles and New York, generating an estimated $10 million. Many observers believed that Craigslist could easily charge for other types of ads, but few expected it to do so soon. The company's founder had little interest in capturing the value that Craigslist had created for millions of its users.

The Decision

Having achieved a multimillion-user base, LinkedIn did not feel threatened by its early competitors. Nor would a copycat entrant with a much smaller membership base have much appeal for LinkedIn members. Now Guericke and Hoffman needed to decide how to generate revenue from its large membership. The first option, targeted mainly at networkers and other frequent users—which involved rolling out the bundle of eight new services described in **Exhibit 1** for a monthly charge of $15—had great potential to make LinkedIn profitable. It remained unclear, however, whether charging users for these features would slow membership growth. Some insiders also doubted whether this option fully exploited LinkedIn's competitive advantage.

A number of LinkedIn members had expressed strong interest in the second option: allowing members to contact each other without intermediaries for a fee. Even if only a small fraction of the membership initiated a request to contact someone, LinkedIn could realize substantial revenue. It was less clear, though, how the targets of such overtures would react. Would relationship managers begin to flee the network if recruiters or networkers sought to contact them? Some evidence suggested that they might object. In 2004, for example, LinkedIn had given its members the option of being contacted without a referral; 92% had chosen not to participate. On the other hand, if the initiator of contact had to pay to contact the recipient with a job offer, the recipient's perception might be more favorable. The success of this option would clearly depend on the design of the contact mechanism and on the behavior of contactor initiators.

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Exhibit 1 Projected Bundle of New Premium Services

Service	Description
1. "Who should I already know?"	Professionals who are well-connected to the people you know, or highly endorsed by them, are people you should know—and LinkedIn will help you meet them.
2. Ask Your Network	Send a message to all your first- and second-degree contacts at once when you need to find a person, get a recommendation for a service, or ask for information.
3. Power Networker Connection	Get in touch directly with other Power Networkers in your region or country, and identify yourself to other networkers.
4. Control Request Forwarding	Choose the entire path for your contact request to ensure that it moves quickly and through the right people.
5. Premium Subscriber Icon	All LinkedIn members will know that you are a Premium Subscriber.
6. Reference Search	With one click, find the people in your network who can give you "unofficial" references for a potential candidate or business partner.
7. Premium Customer Service	Get your questions answered or your problems addressed within 24 hours.
8. More Requests	Send up to 10 simultaneous contact requests to the professionals you need to reach.

Source: Company.

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Exhibit 2 Biographies of Key Executives

Reid Hoffman, CEO and Director. Hoffman set corporate strategy and oversaw all operations. Before cofounding the company, he was executive vice president of PayPal, in charge of business development, government relations, payments infrastructure and banking relations. Hoffman graduated from Stanford University with a B.S. in cognitive science and from Oxford University with a master's degree in philosophy.

Konstantin Guericke, **Vice President of Marketing.** Guericke spread the word about LinkedIn and educated users about how they could strengthen their relationships and advance their careers by means of LinkedIn. With a degree in B.S and M.S. in engineering from Stanford University, Guericke's prior experience included a stint as Marketing VP at Presenter, in charge of public relations, product marketing and corporate marketing. Before joining LinkedIn, Guericke had helped many high-tech startups develop marketing strategies.

Allen Blue, Vice President of Strategy. Formerly vice president of Product, Blue took over the strategy post on the strength of his experience with social-networking services. Prior to joining LinkedIn, Blue had worked as director of Product Design at SocialNet.com, responsible for product design and implementation of a member-data-focused business model. With a B.A. in drama and English from Stanford University, Blue also worked as a contract product and Web designer for PayPal and for Microsoft's Virtual Worlds.

Jamie Templeton, **Vice President of Jobs.** Templeton graduated from Bates College with a B.S. in Physics. Prior to joining LinkedIn, he had worked for PayPal in product management, business strategy and engineering management.

Eric Ly, **Vice President of Desktop**. With a B.S. in symbolic systems from Stanford University and an M.S. from the MIT Media Lab, Ly had experience developing other software platforms that delivered personalized content to clients.

Jean-Luc Vaillant, Vice President of Engineering. With a master's degree in computer science from the University of Marseilles and a Ph.D. in network engineering from the Ecole Normale Supérieure des Télécommunications, Vaillant had previous experience as director of Software Development and VP of Development at MatchNet, and in engineering-management positions at Fujitsu Software Corporation and the research labs of France Telecom.

Source: Casewriter.

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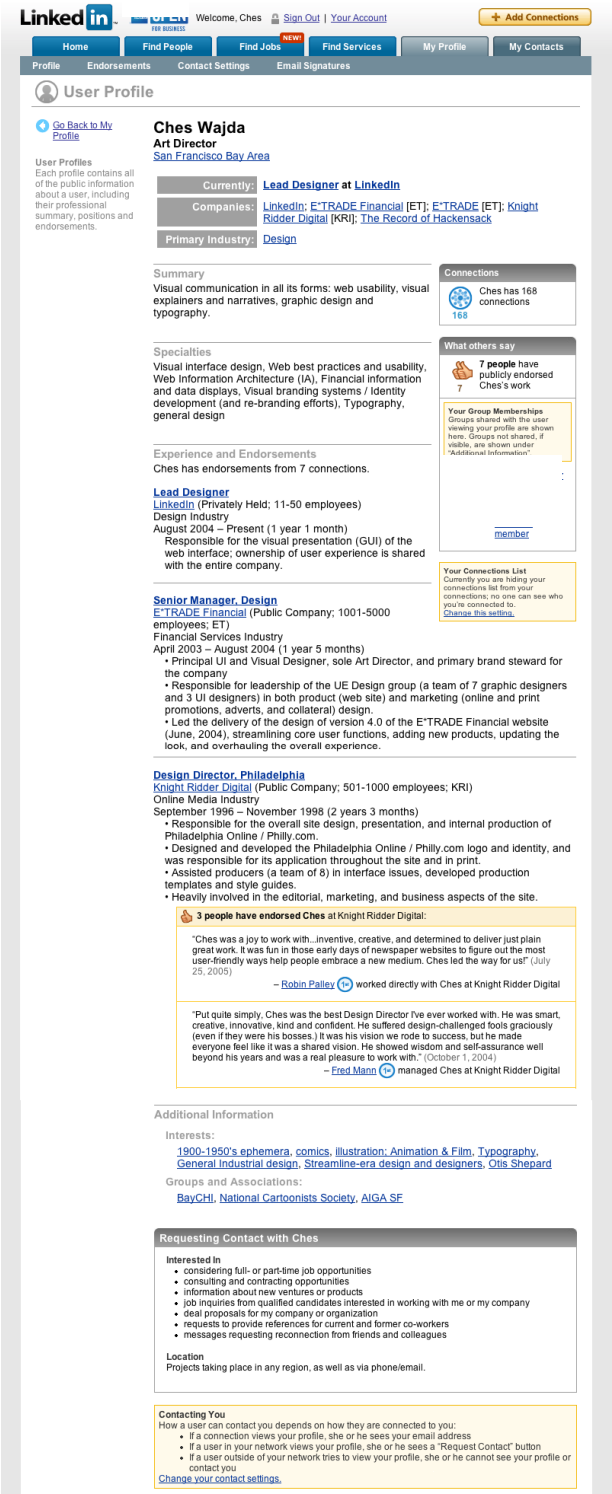
Exhibit 3 Sample Profile Page (2005)



Source: Company.

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Exhibit 4 Homepage (2005)

Source: Company.

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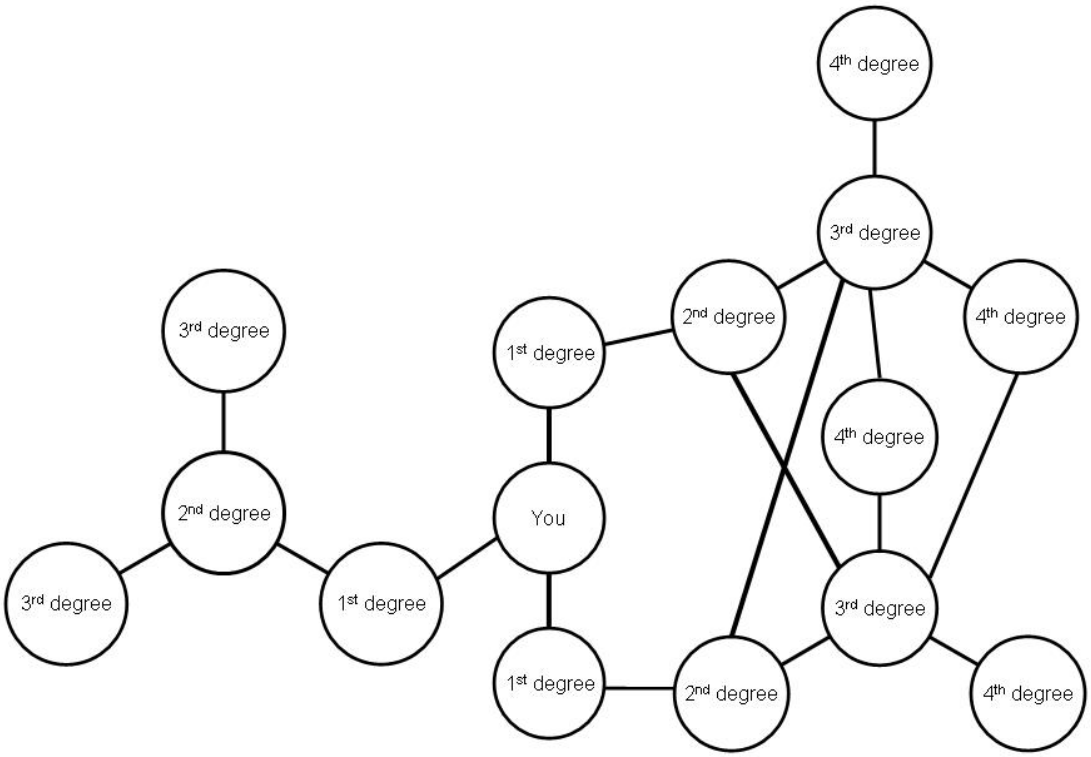
Exhibit 5 Degrees of Separation in a Social Network



Source: Casewriter.

Exhibit 6 Relationship of Personal Network Size, Degrees of Separation, and Common Ties

Degree	Each contact's number of ties	Number of unique contacts a member can access[a]		
		No ties in common	7 ties in common	14 ties in common
1	20	20	20	20
2	20	380	240	100
3	20	7,220	2,880	500
4	20	137,180	34,560	2,500

Source: Casewriter.

[a]Calculated as ties*(ties – friends in common – 1)$^{\text{degrees-1.}}$

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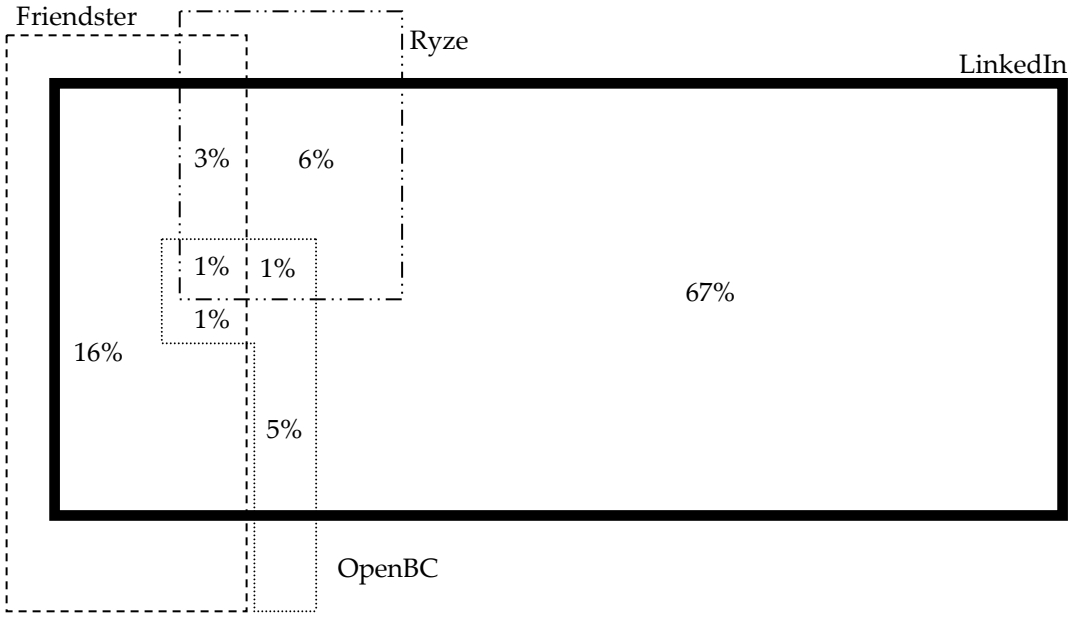
Exhibit 7 Breakdown of Users

By Country		By Profession	
United States	48%	Other tech	13%
Continental Europe	20%	Computer software	10%
United Kingdom	7%	Prof services	8%
France	4%	Telecommunications	7%
Canada	3%	Financial services	7%
Netherlands	3%	Management consulting	4%
Brazil	3%	Healthcare	3%
India	2%	Recruiting	2%
Germany	2%	Real Estate	2%
Other	8%	All remaining categories	45%

Source: Company.

Exhibit 8 LinkedIn Membership Overlap with Other Websites



Source: Casewriter's research with assistance from Monika Jarosz and Chris Dexter.

Note: Numbers represent the percentage of LinkedIn users who also appeared on other websites (based on a stratified sample of 158 LinkedIn users selected in June 2006). Competitive overlap not corrected for the different membership bases of competitors' websites. Supplementary regression analyses indicated that geographic location, industry, number of LinkedIn connections, or endorsements did not predict whether a LinkedIn member would also be a member of any competitive website.

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Endnotes

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[10] Monster Fact Sheet from Monster.com website, accessed July 1, 2006

[11] Adam Anderson, "Monster.com," *Hoovers Company Reports,* available from www.factiva.com, accessed May 18, 2006.

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